

Memo to Head of Finance

To: Head of Finance, Arka Tea Traders Pvt Ltd

From: Nilankshi Yadav

Subject: Observations from Bank Reconciliation Analysis (Jan–Mar 2026)

After reviewing the bank reconciliation for the quarter ended 31 March 2026, several factors were identified as contributing to the differences between the Zoho Books ledger and the HDFC Bank statement.

The opening balance carried forward from the previous period was incorrect by ₹7,850.50. Other bookkeeping errors made during the current period include: the rent payment was omitted from the books; the utility expense was posted twice; a vendor payment was recorded for a lower amount than the actual payment; and bank-originated items (bank interest credits and bank charges) were not recorded in the books. Timing differences included cheques deposited into the bank but not yet cleared, as well as one outstanding cheque that had not been presented by 31 March 2026.

Overall, the review indicates that bank reconciliations were not being performed on time. Reliance on manual posting to the books also increased the risk of errors.

Detailed observations include:

- Bank-originated transactions were not being reviewed on a routine basis.
- Transactions created by standing instruction were not being tracked.
- Payments to utilities and vendors lacked controls to prevent duplicate postings.
- Monthly bank reconciliation was not completed on time.

Recommendations to prevent future occurrences:

1. Perform month-end bank reconciliation within five business days after each month-end and make it a mandatory monthly control.
2. Perform maker-checker validation for all vendor and utility bill postings.
3. Configure automatic bank feeds from HDFC Bank to Zoho Books wherever possible.
4. Maintain a log of uncleared cheques and deposits for reference during bank reconciliation.
5. Investigate and correct any differences in opening balances before carrying the balance forward to a new accounting period.
6. Create a checklist for common bank charges, interest credits, and standing instruction postings.

Although most of the discrepancies were operational rather than fraudulent, delaying bank reconciliation increases the risk of undetected errors and weakens cash controls over time.